

3.2 DCF Formula

In DCF method, we calculate the value by adding all discounted cash flows. Since the business is expected to survive, we are getting the present value of all cash flows generated by discounting them perpetually.

(Perpetuity means the business will continue for a longer period of time)

Now how can we calculate DCF?

The DCF formula is rather more complex than other models including the dividend discount model.

Formula

$$V_0 = [CF_1 + CF_2 + CF_3] + \frac{CF_4}{(Cost\ of\ Capital - Growth)}$$

Discounted Cash Flows

+

Discounted Perpetual Flows

Where, $CF_1 = \frac{PAT}{(1 + r)^n}$

For Example

	2022E	2023E	2024E	2025E
Revenue	1050	1150	1300	1500
Expenses	900	980	1100	1250
Interest	2	2	2	2
PAT	150	170	200	250

Research and understanding of the company.

For Perpetual Value:

Growth - 5% Cost of Capital - 12%